Lakeshore Instruments Corp. (SKR) - Form 10-K

FY2023

Lakeshore Instruments Corp.

Form 10-K for the Fiscal Year Ended 2023

Ticker: SKR | Sector: Financials | HQ: Illinois

> **NOTE:** This is a synthetic filing generated for a RAG-evaluation benchmark dataset. Lakeshore Instruments Corp. is a fictional company; it does not exist. Every figure below is internally consistent and traceable to this project's computed financial statements, but nothing here describes a real company, and it should not be treated as an actual SEC filing.

Item 1. Business

Introduction

Lakeshore Instruments Corp. ("Lakeshore," "we," "our," or "us") is an asset management, custody, and fund administration company headquartered in Illinois, serving institutional and wealth management clients. For the fiscal year ended 2023, we generated net revenue of $8,759.2 million. Our business depends on providing custody, fund administration, investment management, and related asset-servicing capabilities to institutional investors, asset managers, and high-net-worth individuals and families.

Our Business

We provide asset servicing (custody, fund administration, and securities lending), wealth management, and asset management services. Our asset servicing operations hold and administer assets on behalf of institutional clients such as pension funds, insurance companies, and asset managers. Our wealth management operations provide investment management, trust, and banking services to high-net-worth individuals and families. Our asset management operations provide investment products and strategies to institutional and individual clients.

Regulation

As a custody bank and asset manager, we are subject to extensive regulation and supervision by federal and state banking and securities regulators, which govern, among other things, our capital and liquidity levels, fiduciary responsibilities, and the conduct of our custody, administration, and investment management activities.

Human Capital

Our workforce supports our asset servicing, wealth management, and asset management operations. We compete for specialized talent in trust administration, investment management, and technology, and we seek to offer competitive compensation and benefits along with training and development opportunities. We do not have any collective bargaining agreements in the United States and believe our relationships with our employees are good.

Competition

The asset servicing and wealth and asset management industry is highly competitive. We compete with other custody banks, asset managers, and wealth management firms for institutional and individual clients. We believe the principal competitive factors in our industry are service quality, breadth of capabilities, technology, and the strength and stability of our balance sheet.

Item 1A. Risk Factors

Risks Related to Our Business

Our revenue depends significantly on the level and performance of financial markets, which affect the value of assets we hold in custody or manage on behalf of clients. A decline in equity or fixed income markets could reduce the fees we earn on asset servicing and asset management, which are generally based on the value of client assets rather than fixed amounts.

Our profitability is sensitive to changes in interest rates and our funding costs. Our interest expense represented a substantial portion of our revenue during fiscal 2023, reflecting the cost of funding our balance sheet in a rising interest rate environment. Further increases in funding costs, or a mismatch between the timing of asset and liability repricing, could compress our net interest margin and adversely affect our results of operations.

Risks Related to Regulation

We are subject to extensive banking and fiduciary regulation, and changes in regulatory requirements could increase our compliance costs or restrict our activities. Our regulators have broad discretion over our capital and liquidity requirements and the conduct of our custody, administration, and fiduciary activities.

We are required to maintain minimum regulatory capital levels, and our stockholders' equity represented approximately 8.9% of our total assets as of fiscal year end 2023. A reduction in our capital levels could limit our ability to pay dividends, repurchase shares, or grow our business.

Risks Related to Our Financial Position

Our liabilities represented approximately 91.1% of our total assets as of fiscal year end 2023. Our ability to fund our balance sheet depends on continued access to client deposits and other funding sources on acceptable terms; a loss of client or counterparty confidence could require us to seek more expensive funding alternatives.

Risks Related to Cybersecurity and Information Technology

Our business depends on the security and reliability of the information technology systems that support our custody, fund administration, and wealth management operations. As described in Item 1C, "Cybersecurity," while we have not experienced a material cybersecurity incident to date, a future incident affecting our systems, client data, or those of our third-party service providers could disrupt our operations, result in financial losses, and harm our reputation.

General Risk Factors

Our results of operations may be affected by general economic and market conditions, including changes in interest rates, equity valuations, and client asset flows, which influence both our fee-based revenue and our net interest income.

Item 1C. Cybersecurity

Risk Management and Strategy

We maintain a cybersecurity risk management program informed by an internal enterprise risk management framework aligned to NIST, designed to identify, assess, and manage material risks from cybersecurity threats to our information systems and the client and account data we process. We periodically benchmark our practices against recognized industry frameworks using a combination of internal assessment and independent outside expertise.

Our program includes continuous monitoring of our information technology environment, vulnerability scanning and penetration testing, employee security-awareness training, and a formal incident response plan that sets out procedures for investigating, containing, and remediating cybersecurity incidents. Because our custody, administration, and wealth management systems depend in part on third-party service providers, our vendor management process includes an assessment of those providers' security practices before and during the engagement.

Cybersecurity Risks

We have not experienced a material cybersecurity incident to date. However, like other custody banks and asset managers, we are a frequent target of cybersecurity threats, and a future incident affecting our systems or those of our third-party service providers could disrupt our operations, compromise sensitive client data, and result in remediation costs, litigation, or reputational harm. See Item 1A, "Risk Factors," for additional discussion of cybersecurity-related risks.

Governance

The Audit Committee of the Board of Directors is responsible for overseeing our cybersecurity risk management program. Management provides the Audit Committee with regular updates on our cybersecurity program, including the results of risk assessments, the status of our security initiatives, and the threat landscape we face. The Audit Committee in turn reports to the full Board on cybersecurity matters it believes warrant the Board's attention.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Lakeshore Instruments Corp. is an asset management, custody, and fund administration company. For the fiscal year ended 2023, we generated net revenue of $8,759.2 million, pretax income of $3,503.7 million, and net income of $2,242.1 million (a net margin of 25.6%).

Results of Operations

The following table summarizes our results of operations for the fiscal year ended 2023 (in millions, except percentages; amounts may not sum due to rounding):

Line item	Amount	% of total
Net revenue	$8,759.2	100.0%
Interest expense	5,255.5	60.0%
Pretax income	3,503.7	40.0%
Income tax expense	1,261.6	14.4%
Net income	2,242.1	25.6%

As a custody bank and asset manager, the substantial majority of our balance sheet and cost structure is not broken into the same cost-of-revenue and selling, general and administrative categories an industrial company reports; our results instead reflect the net interest income and fee-based revenue generated across our asset servicing, wealth management, and asset management businesses, net of funding costs. Our funding costs rose meaningfully during fiscal 2023, consistent with the broader rising interest rate environment, and represented 60.0% of net revenue for the year. Our effective tax rate for the year was 36.0%, above the 21% U.S. federal statutory rate, reflecting the jurisdictional mix of our earnings and other permanent differences between book and taxable income.

Liquidity and Capital Resources

We generated $4,871.2 million of cash from operating activities during fiscal 2023, reflecting net income of $2,242.1 million, non-cash depreciation and amortization of $1,173.1 million, and changes in working capital and other items of $1,456.0 million. Investing activities provided $9,879.6 million of cash, reflecting net proceeds from our investment securities and loan portfolios, partly offset by capital expenditures of $207.3 million. Financing activities used $14,940.4 million of cash, primarily reflecting a net reduction in deposits and other funding sources, reflected in other financing activities of $(14,160.8) million, together with $779.5 million used for share repurchases. Taken together, our cash and cash equivalents decreased by $189.5 million during the year.

As of fiscal year end 2023, we had stockholders' equity of $15,676.4 million, representing approximately 8.9% of total assets. We believe our capital and liquidity position is sufficient to support our custody, administration, and asset management operations for at least the next twelve months.

Critical Accounting Estimates

Fair Value of Financial Instruments. A substantial portion of our assets and liabilities are carried at fair value based on quoted market prices or valuation models that incorporate observable and unobservable inputs. Changes in market conditions or the assumptions underlying these models could materially affect the fair value of these instruments.

Allowance for Credit Losses. We maintain an allowance for credit losses on our lending and counterparty exposures based on historical loss experience, current conditions, and reasonable and supportable forecasts of future economic conditions.

Recent Accounting Pronouncements

See the notes to our consolidated financial statements in Item 8 for a discussion of recently issued accounting pronouncements and their expected effect on our consolidated financial statements.

Item 8. Financial Statements and Supplementary Data

Report of Management

The accompanying consolidated financial statements present the financial position, results of operations, and cash flows of Lakeshore Instruments Corp. for the fiscal year ended 2023. All dollar amounts below tie directly to the figures in this filing's underlying financial data and are presented in millions, except per-share data, unless otherwise noted; amounts may not sum exactly due to rounding.

Consolidated Balance Sheet (in millions)

Assets

Line item	Amount
Cash and cash equivalents	$6,156.0
Property, plant and equipment, net	523.5
Goodwill	928.7
Other assets	167,575.5
Total assets	$175,183.7

Liabilities

Line item	Amount
Other liabilities	$159,507.3
Total liabilities	$159,507.3

Stockholders' Equity

Line item	Amount
Additional paid-in capital	$1,025.2
Retained earnings	14,978.5
Accumulated other comprehensive loss	(1,359.7)
Other equity	1,032.3
Total stockholders' equity	$15,676.4

Line item	Amount
Total liabilities and stockholders' equity	$175,183.7

Consolidated Statement of Income (in millions)

Line item	Amount
Net revenue	$8,759.2
Interest expense	5,255.5
Pretax income	3,503.7
Income tax expense	1,261.6
Net income	$2,242.1

Consolidated Statement of Cash Flows (in millions)

Operating activities:

Line item	Amount
Net income	$2,242.1
Depreciation and amortization	1,173.1
Changes in working capital and other	1,456.0
Cash from operating activities	4,871.2

Investing activities:

Line item	Amount
Capital expenditures	(207.3)
Other investing activities	10,086.9
Cash from investing activities	9,879.6

Financing activities:

Line item	Amount
Share repurchases	(779.5)
Other financing activities	(14,160.8)
Cash used in financing activities	(14,940.4)

Line item	Amount
Net decrease in cash	$(189.5)

Notes to Consolidated Financial Statements

Note 1. Income Taxes Our effective tax rate for fiscal 2023 was 36.0%, compared with the 21% U.S. federal statutory rate, primarily reflecting the jurisdictional mix of our earnings.

Note 2. Commitments and Contingencies We are subject to various claims, legal proceedings, and regulatory matters arising in the ordinary course of business. We do not believe the resolution of these matters, individually or in the aggregate, will have a material adverse effect on our consolidated financial position or results of operations.